

Portfolio Report - Joe Tracy

Portfolio overview:

This portfolio is a personal project, and as such its contents are focused on long-term growth, risk management and diversification. Distribution includes 63% in unrealised share value and 37% in cash, with the latter yielding 4.05% AER. Invested capital is dispersed across individual growth stocks, index funds and alternative investments. With a focus on diversification, assets are allocated across various industries including Tech, Oil & Gas and Defence, while also including US, UK and EU stocks for geographical diversification. Though tech has the most prominent contribution, economic factors have driven a bullish market the past year, and thus its concentration is appropriate. As at 31/08/2025, the portfolio has yielded a total weighted return of 13.55%.

CURRENT POSITION

List of current holdings (as a % of total invested capital):

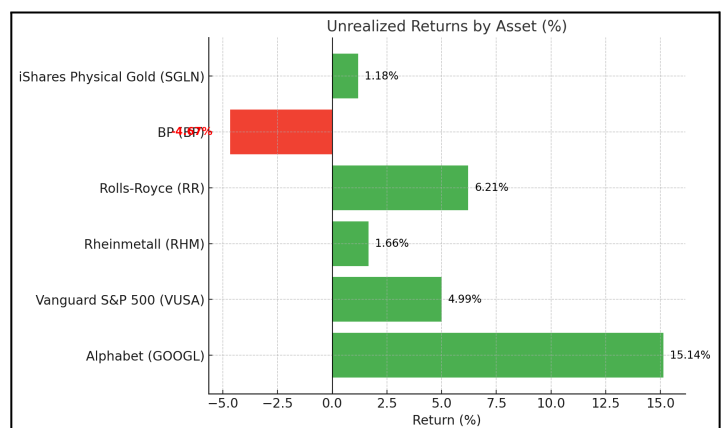
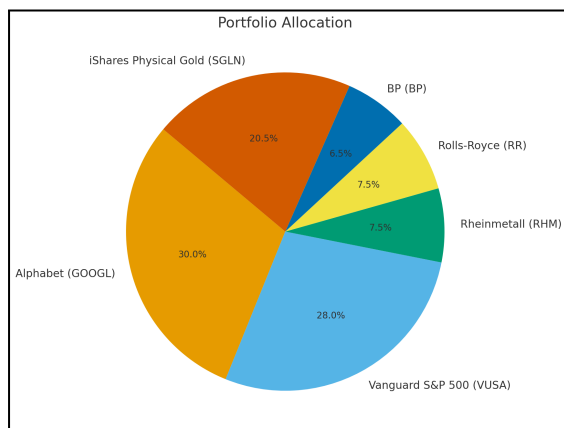
Alphabet (GOOGL): 30%
Vanguard S&P 500 (VUSA): 28%
Rheinmetall (RHM): 7.5%
Rolls-Royce (RR): 7.5%
BP (BP): 6.5%
iShares Physical Gold (SGLN): 20.5%

List of returns of current holdings (As at 31/08/2025):

Alphabet (GOOGL): +15.14%
Vanguard S&P 500 (VUSA): +4.99%
Rheinmetall (RHM): +1.66%
Rolls-Royce (RR): +6.21%
BP (BP): -4.67%
iShares Physical Gold (SGLN): +1.18%

Unrealised Return

Unrealized Return (%) = $\sum (\text{Weight of asset} \times \text{Return of asset})$
= +6.47%



PREVIOUS LIQUIDATION OF HOLDINGS

Nvidia (NVDA)

Date: 18/07/2025

Execution price: \$174.04

Realised P/L: +28.3%

Weight of portfolio when liquidated: 25%

*Proceeds were used to purchase Alphabet, and in the process, diluting other holdings.

INVESTMENT THESIS, RATIONALE & STRATEGY

At first, Nvidia was the only stock in my portfolio but throughout my first year at University I learned this is highly susceptible to idiosyncratic risk, and so I diversified it into the portfolio you see before you.

I purchased my first share of Nvidia on 5 September 2024, foregrounded by CAPM analysis and comparables. At the time, Nvidia was trading at \$105.41, a 9.14% drop from the day before and a \$279bn market cap loss, signalling a sound entry point. Just a few months prior, in March 2024 Nvidia introduced their Blackwell architecture, a pivotal moment in AI infrastructures that gave the company one of the most bullish market sentiments in recent times. While having an 80% market share in GPU usage for AI training too, I found this day a perfect entry point. Using the CAPM formula denoted as:

$$E(R_{NVDA}) = R_f + \beta \times (E(R_m) - R_f)$$

Where $R_f = 4.5\%$

$\beta = 2.14$

$E(R_m) = 10\%$ historically,

I calculated Nvidia's expected return to be 16.27%, given its higher beta than the market average. Additionally, Nvidia had a \$2.48 EPS, and a P/E ratio of 52.42, the lowest it had been since 2022. These valuation metrics still imply slight overvaluation; in conjunction with its β value, this meant the stock was not a recommended buy. Additionally, geopolitical tensions rose in the Taiwan Strait which had potential to disrupt supply chains and further, Nvidia earnings. However, the release of the RTX 50 Series in 2025 gave the company extreme bullish sentiment and worked synchronistically with the resistance displayed from its 9.14% fall. When the RTX 50 Series was released, it was revealed that because of AI development, launch prices were reduced by up to 60%, providing consumer and investor attraction. At this point, EPS, revenue and EBITDA had been cumulatively climbing and my shares reached a peak of +11% up until President Trump imposed his tariff policies. Nvidia saw rapid decline, as did the rest of the market which signalled severe systemic risk and the start of an economic recession. Imposing 32% tariffs on Taiwanese imports meant Nvidia profit margins were expected to decrease and in turn the stock price dropped to LTM low of \$87.41 on 7 April 2025. Since the tariff policies have been remotely loosened, NVDA have produced positive earnings despite concerns and became the first company to reach \$4T market capitalisation. This led the stock to new ATHs, and is where I sold my position in respect to a potential correction. At the same time, I opted for an investment in GOOGL, with

a much lower P/E ratio of 22 that indicated it was undervalued. Additionally, earnings were net positive, with EPS gains and +14% LTM revenue, driven by Google Cloud. Like Nvidia, their respective growth is heavily influenced from developments in AI infrastructure, however the financial risk of future tariff impacts are mitigated to more of an extent with Google, given their domestic operations and a balance sheet dominated by intangible assets.

While GOOGL represents a large portion of my portfolio, I am looking to reinvest into Nvidia in the future as I believe long-term growth is foreordained for both. Additionally, I aim to dilute my GOOGLE shares, with prioritisation of building returns with the promising RHM, RR, and BP.

As for VUSA, my funds are allocated each month at a set value, since the fund yields low volatility and timing the market becomes diminishingly ineffective. Throughout 2024 Q4 and 2025, my portfolio has remained relatively consistent with approximately $\frac{1}{3}$ in a tech powerhouse, $\frac{1}{3}$ in S&P 500 and the last $\frac{1}{3}$ in smaller investments across other industries and alternative assets, namely Gold.

As for the future, I aim to keep my exposure to gold relatively stable at 15-20% as it moves asynchronistically against the stock market, which is still in recovery stages from the economic hardship faced this year. Therefore, gold may produce inferior returns as opposed to the stock market, though it is an important diversification instrument that can negate short-term, bearish movement and as such it will not be sold.